

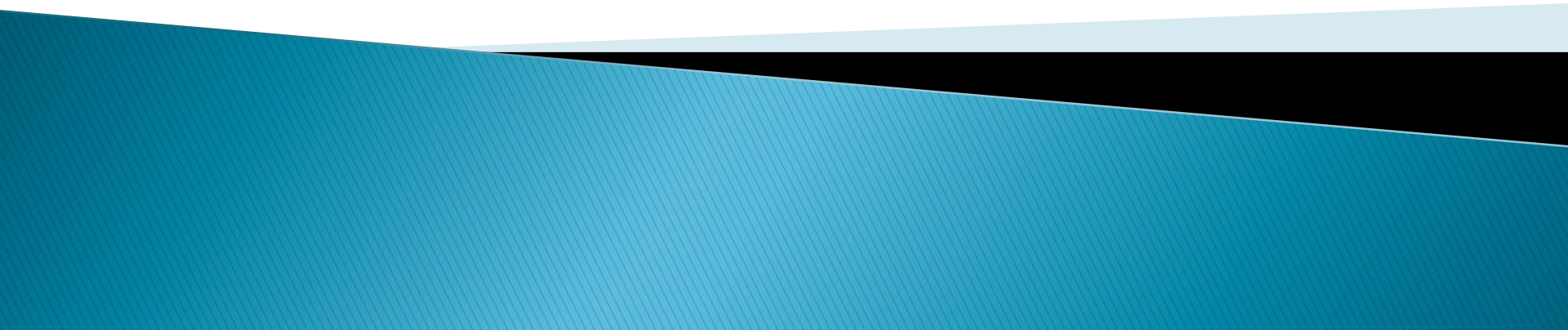
ENTREPRENEURIAL DEVELOPMENT STUDIES (II) LMU-EDS 121



WEEK 2

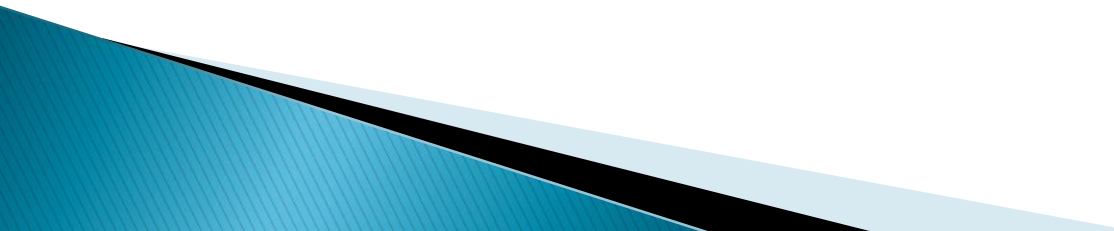
Topic:

Entrepreneurship and
Economic Development in
Africa



1.0 Introduction

- ▶ Entrepreneurship is a critical driver of economic development, particularly in emerging economies like Nigeria.
 - ▶ However, entrepreneurs operate within a dynamic and complex ecosystems shaped by policy frameworks, institutional quality, infrastructure, and socio-cultural factors as they encounter opportunities and constraints.
- 

- ▶ To navigate these opportunities and constraints, aspiring entrepreneurs must understand the dynamism.
 - ▶ This lecture examines: the economic importance of entrepreneurship, the systemic challenges confronting entrepreneurs in Nigeria, and strategies for cultivating a robust entrepreneurial consciousness.
- 

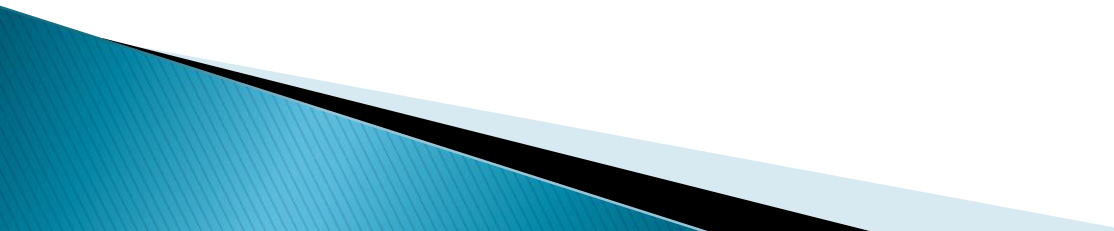
2.0 Learning Objectives

By the end of this lecture, students should be able to:

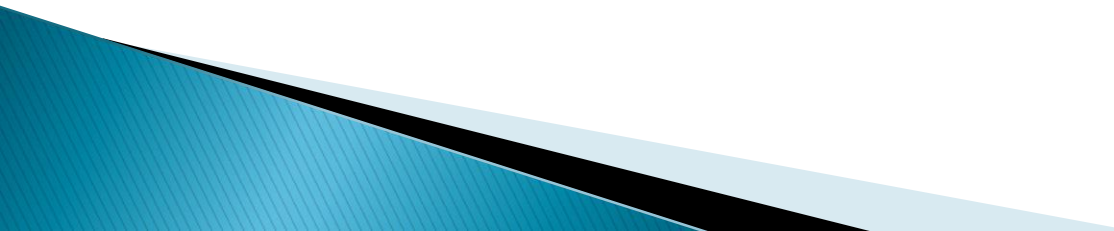
1. Assess the contribution of entrepreneurship to job creation, innovation, and economic diversification in Nigeria.
 2. Identify and analyze the systemic challenges facing entrepreneurs in Nigeria.
 3. Discuss strategies for perpetuating a robust entrepreneurial ecosystem and entrepreneurial consciousness among Nigerian youth.
- 

3.0 The Economic Importance of Entrepreneurship

- ▶ Entrepreneurship serves as a catalyst for economic transformation across multiple dimensions.
 - ▶ In the Nigerian context, where oil dependency has historically constrained economic diversification, entrepreneurship offers a pathway to sustainable and inclusive growth.
- 

- ▶ Acs and Varga (2020) argue that entrepreneurship functions as a transmission mechanism that converts knowledge, innovation, and opportunity into tangible economic outcomes.
 - ▶ The following are the economic importance of Entrepreneurship:
- 

▶ 3.1 Job Creation

- ▶ Small and Medium Enterprises (SMEs) constitute the backbone of employment in Nigeria. According to the Small and Medium Enterprises Development Agency of Nigeria (SMEDAN, 2023), micro, small, and medium enterprises account for approximately 96% of all businesses in Nigeria and contribute about 48% to national GDP.
- 

- ▶ More significantly, these enterprises employ over 84% of the country's workforce. This statistic underscores the critical role that entrepreneurship plays in absorbing the millions of young Nigerians entering the labor market annually.
 - ▶ **Necessity-driven entrepreneurs often create precarious, low-income jobs, while opportunity-driven, scalable ventures have the potential to generate higher-quality employment with better wages and working conditions (GEM, 2024)**
- 

Example: Andela, founded by Iyinoluwa Aboyeji and Jeremy Johnson, created a new category of employment by training and placing African software developers with global technology companies.

By 2024, Andela had employed thousands of developers across Nigeria, Kenya, and other African countries, demonstrating how scalable entrepreneurship can generate high-value employment and develop human capital simultaneously (Aboyeji, 2022).



▶ 3.2 Innovation and Technological Diffusion

- ▶ Entrepreneurs are primary agents of innovation, introducing new products, services, processes, and business models that disrupt established industries and create entirely new markets. In the Schumpeterian tradition, entrepreneurs engage in "creative destruction," replacing inefficient incumbents with more innovative alternatives
- 

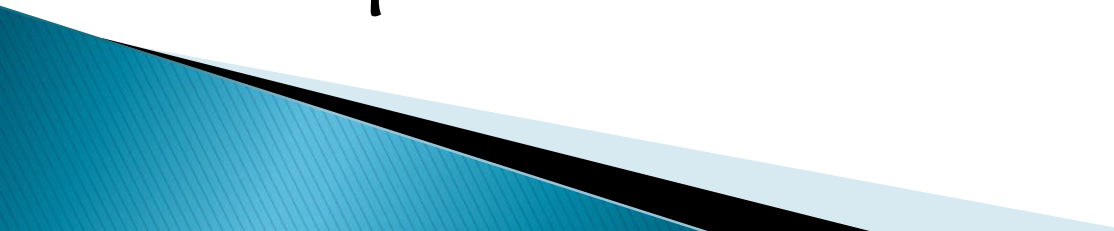
Example: The Nigerian fintech revolution exemplifies entrepreneurship-driven innovation. Companies like Flutterwave (founded by Iyinoluwa Aboyeji and Olugbenga Agboola) and Paystack (founded by Shola Akinlade and Ezra Olubi) introduced payment processing solutions that addressed the unique challenges of the Nigerian market—unreliable infrastructure, fragmented banking systems, and low digital trust.

These innovations not only created successful businesses but also enabled thousands of other entrepreneurs to accept digital payments, catalyzing the growth of e-commerce and digital services across Nigeria.

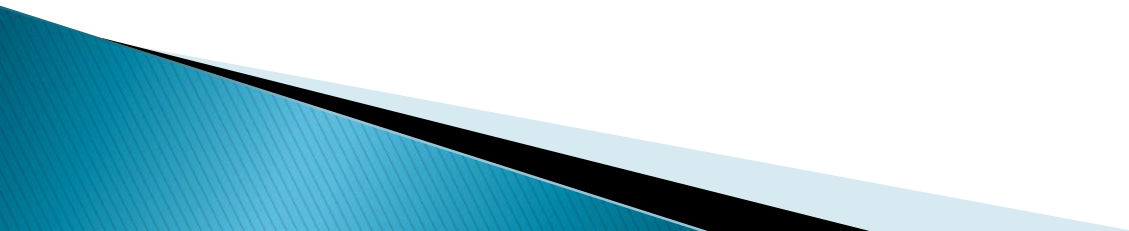


- ▶ **3.3 Economic Diversification**
- ▶ Nigeria's dependence on oil revenue has made the economy vulnerable to global price shocks and has contributed to what economists term the "resource curse", a paradox where resource-rich countries experience slower economic growth and higher inequality. Entrepreneurship offers a pathway to diversification by developing non-oil sectors such as agriculture, manufacturing, technology, and creative industries

▶ 3.4 Wealth Creation and Poverty Reduction

- ▶ Entrepreneurial activity creates pathways for wealth creation that can lift individuals, families, and communities out of poverty. Entrepreneurs' success generates income for themselves and their employees, create demand for local suppliers, and contribute tax revenue that funds public services.
- 

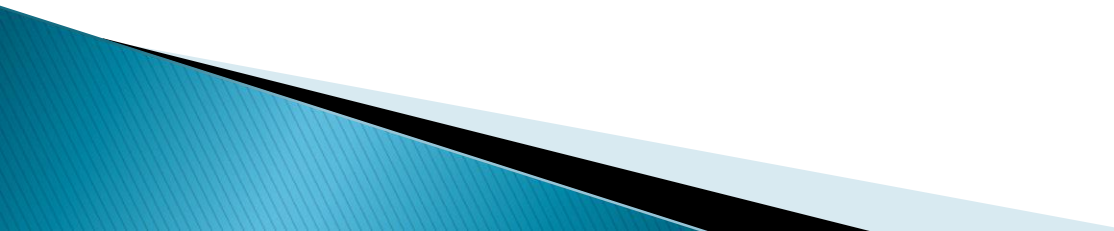
Challenges Facing Entrepreneurs in Nigeria



► 4.1 Policy and Regulatory Environment

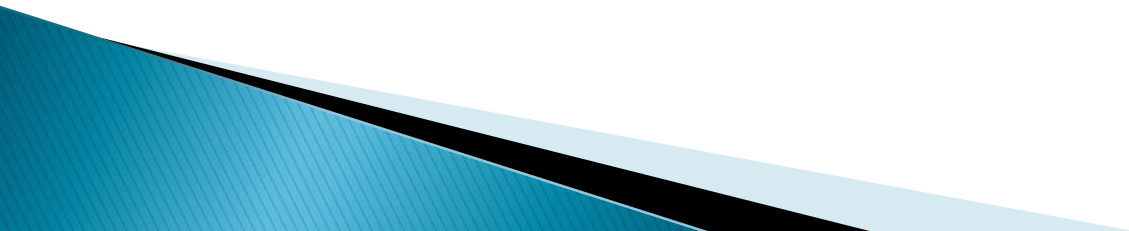
The policy environment for entrepreneurship in Nigeria is characterized by inconsistency, bureaucratic complexity, and limited institutional support.

The World Bank's Doing Business reports have historically ranked Nigeria poorly on indicators such as starting a business, registering property, and enforcing contracts



4.2 Infrastructure Deficits

Infrastructure deficiencies represent a significant operational burden for Nigerian entrepreneurs, increasing costs and reducing competitiveness.



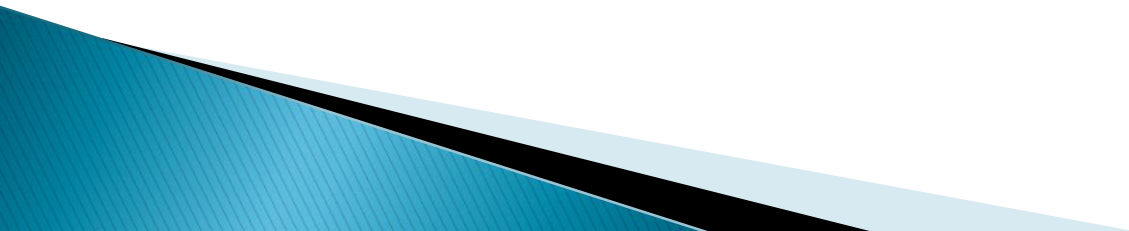
➤ 4.3 Access to Finance

Access to affordable finance remains one of the most frequently cited constraints for Nigerian entrepreneurs.

The financing gap for MSMEs in Nigeria is estimated to be in the hundreds of billions of naira (CBN, 2024).

▶ 4.4 Market Access and Competition

Entrepreneurs face challenges in accessing markets, both domestically and internationally



▶ 4.5 Skills and Human Capital

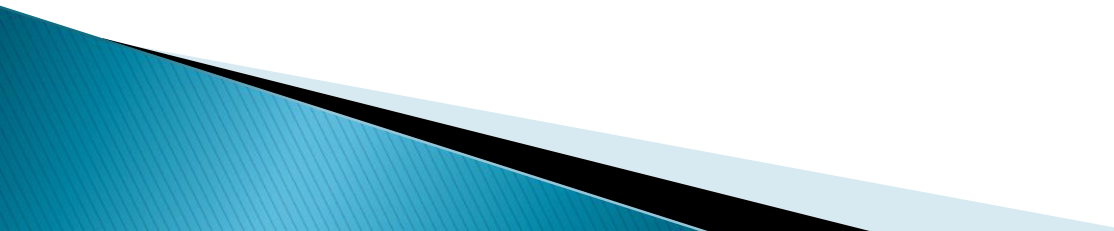
- ▶ Entrepreneurs often struggle to find workers with the skills needed for their ventures. The mismatch between educational curricula and labor market needs means that many graduates lack practical, job-ready skills.
 - ▶ Entrepreneurship education itself remains limited, with many entrepreneurs learning through trial and error rather than formal training
- 

▶ 5.0 Developing Entrepreneurship Consciousness in Nigeria

- ▶ Addressing the challenges facing entrepreneurs requires a multi-pronged approach that spans education, policy reform, ecosystem development, and cultural change.

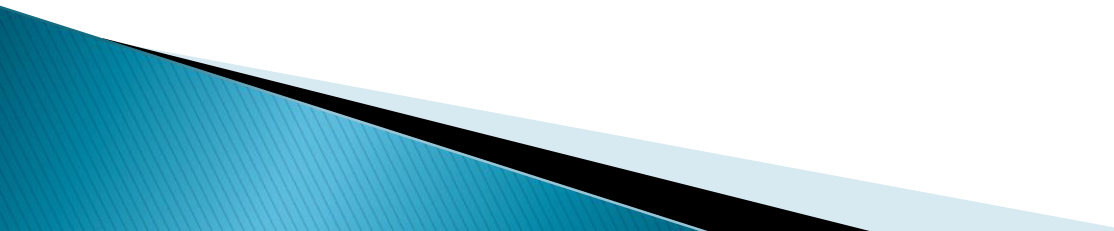
5.1 Entrepreneurship Education

Effective entrepreneurship education goes beyond theoretical knowledge to include experiential learning, mentorship, and exposure to real-world entrepreneurial challenges

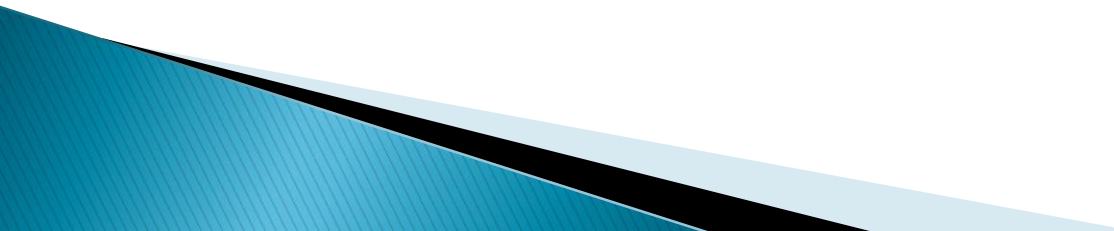


- ▶ **5.2 Policy Reform and Institutional Strengthening**
 - ▶ Improving the enabling environment for entrepreneurship requires sustained policy reform and institutional strengthening.
 - ▶ • Simplified Business Registration:
 - ▶ • Tax Reform:
 - ▶ • Public-Private Partnerships:
- 

▶ 5.3 Infrastructure Investment

- ▶ Addressing infrastructure deficits requires significant investment in power, transportation, and digital infrastructure.
 - ▶ • Power Sector Reform:
 - ▶ • Special Economic Zones:
 - ▶ • Broadband Expansion:
- 

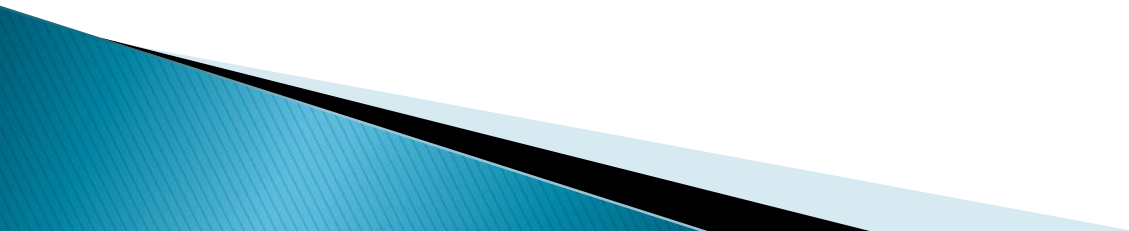
▶ 5.4 Financial Inclusion and Alternative Finance

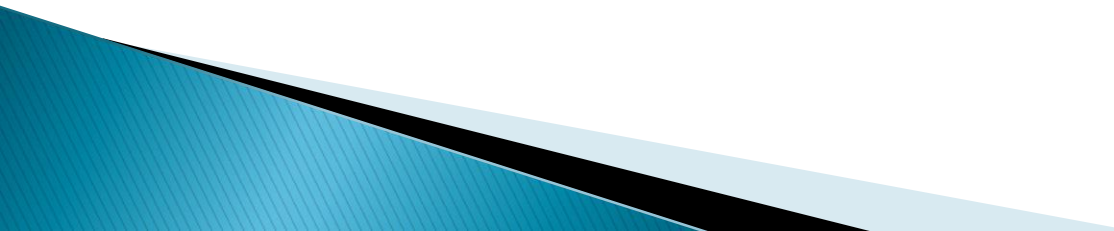
- ▶ Expanding access to finance requires innovation in financial products and delivery mechanisms.
 - ▶ • Fintech Solutions:
 - ▶ • Microfinance Banks:
 - ▶ • Development Finance Institutions:
- 

▶ 5.5 Ecosystem Development

- ▶ A vibrant entrepreneurial ecosystem includes mentorship networks, co-working spaces, incubators, accelerators, and investor networks.
 - ▶ **Example:** Co-creation Hub (CcHUB) in Lagos serves as a hub for technology entrepreneurship. Since its founding, CcHUB has supported hundreds of startups and contributed to the development of Nigeria's technology ecosystem
- 

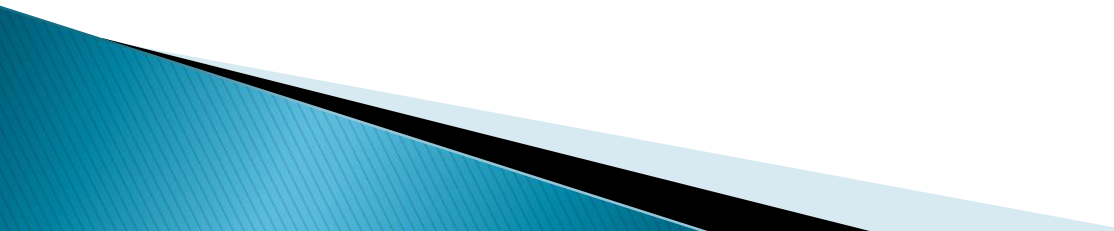
6.0 Youth and Entrepreneurship in Nigeria



- ▶ Nigeria has one of the youngest populations in the world, with over 60% of the population under the age of 25 (National Bureau of Statistics, 2024).
 - ▶ This demographic reality presents both opportunities and challenges for entrepreneurship.
- 

▶ 6.1 Youth Unemployment and Entrepreneurship

- ▶ Youth unemployment rates in Nigeria are alarmingly high, with estimates suggesting that over 40% of young Nigerians are unemployed or underemployed (NBS, 2024). Entrepreneurship is increasingly viewed as a pathway out of unemployment, offering young people an alternative to scarce formal employment opportunities.
- 

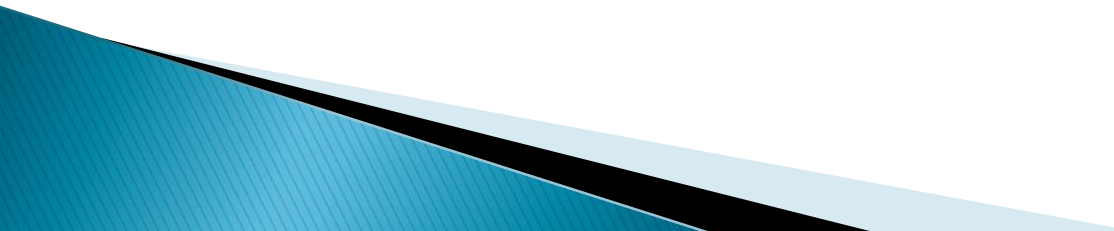
- ▶ However, young entrepreneurs face unique challenges including lack of startup capital, limited business experience, and absence of collateral for loans.
 - ▶ Additionally, cultural expectations often pressure young people to pursue formal employment rather than entrepreneurship as a career path.
- 

▶ 6.2 Technology and Youth Entrepreneurship

- ▶ Digital technologies have lowered barriers to entry for young entrepreneurs. E-commerce platforms enable young people to reach customers without physical stores. Social media provides low-cost marketing channels. Online learning platforms offer access to business skills and technical training.
- 

▶ 6.3 Perpetuating Youth Entrepreneurship

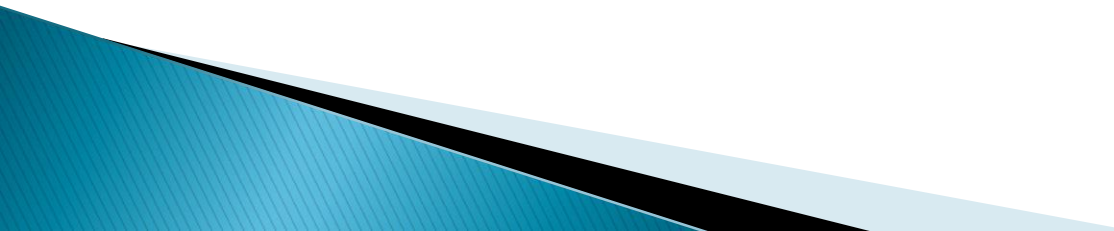
Strategies for perpetuating youth entrepreneurship include:

- Pursue Early Exposure
 - Embrace Mentorship Programs
 - Gain Access to Seed Funding
 - Study Success Stories
- 

▶ Conclusion

- ▶ For Nigeria's youth, entrepreneurship represents both a pathway out of unemployment and an opportunity to shape the country's economic future.

Understanding these dynamics is essential for aspiring entrepreneurs who must navigate both opportunities and constraints in their entrepreneurial journeys.



THANK YOU